

EXHIBIT A

The Babcock & Wilcox Company Asbestos PI Trust

Audited Special-Purpose
Financial Statements
with Supplementary Information
Years Ended December 31, 2025 and 2024

The report accompanying these financial statements was issued by BDO USA, P.C., a Virginia professional corporation and the U.S. member of BDO International Limited a UK company limited by guarantee.



The Babcock & Wilcox Company Asbestos PI Trust

Audited Special-Purpose Financial Statements
with Supplementary Information
Years Ended December 31, 2025 and 2024

The Babcock & Wilcox Company Asbestos PI Trust

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Independent Auditor's Report

The Trustees
The Babcock & Wilcox Company Asbestos PI Trust
Wilmington, Delaware

Opinion

We have audited the special-purpose financial statements of The Babcock & Wilcox Company Asbestos PI Trust (the Trust), which comprise the special-purpose statements of assets, liabilities, and net assets as of December 31, 2025 and 2024, and the related special-purpose statements of changes in net assets and the special-purpose statements of cash flows for the years then ended, and the related notes to the special-purpose financial statements.

In our opinion, the accompanying special-purpose financial statements present fairly, in all material respects, the net assets of the Trust as of December 31, 2025 and 2024, and the changes in net assets and cash flows for the years then ended, in accordance with the basis of accounting described in Note 2 to the special-purpose financial statements.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Special-Purpose Financial Statements* section of our report. We are required to be independent of the Trust and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter - Basis of Accounting

We draw attention to Note 2 of the special-purpose financial statements which describes the basis of accounting. As described in Note 2, the accompanying special-purpose financial statements were prepared using a special-purpose basis of accounting adopted by the Trust which is a basis of accounting other than accounting principles generally accepted in the United States of America. The special-purpose basis of accounting has been used in order to present the net assets presently available for current and future claims and operating expenses. As a result, the special-purpose financial statements may not be suitable for another purpose. Our opinion is not modified with respect to this matter.



Responsibilities of Management for the Special-Purpose Financial Statements

Management is responsible for the preparation and fair presentation of the special-purpose financial statements in accordance with the basis of accounting as described in Note 2 to the special-purpose financial statements. Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of special-purpose financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the special-purpose financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Trust's ability to continue as a going concern within one year after the date that the special-purpose financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Special-Purpose Financial Statements

Our objectives are to obtain reasonable assurance about whether the special-purpose financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the special-purpose financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the special-purpose financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the special-purpose financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Trust's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the special-purpose financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Trust's ability to continue as a going concern for a reasonable period of time.



We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter - Restriction of Use

Our report is intended solely for the information and use of the Trust and is not intended to be and should not be used by anyone other than the specified party.

Other Matter - Other Information Included in the Annual Report

Management is responsible for the other information included in the annual report. The other information comprises the annual report and account of the Trust for the year ended December 31, 2025, but does not include the special-purpose financial statements and our auditor's report thereon. Our opinion on the special-purpose financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the special-purpose financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the special-purpose financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

BDO USA, P.C.

McLean, Virginia
April 23, 2026

Special-Purpose Financial Statements

The Babcock & Wilcox Company Asbestos PI Trust

Special-Purpose Statements of Assets, Liabilities and Net Assets

<i>December 31,</i>	2025	2024
Assets		
Cash and cash equivalents	\$ 10,533,702	\$ 4,805,695
Investments, at fair value		
Bond	152,697,070	178,137,322
Equity securities	106,091,701	91,867,148
Alternative investments	23,584,328	14,144,032
Interest and other receivable	3,218,284	2,741,330
Total Assets	296,125,085	291,695,527
Liabilities		
Settled but unpaid claims	719,800	1,098,367
Accrued expenses and accounts payable	87,042	772,229
Total Liabilities	806,842	1,870,596
Net Assets	\$ 295,318,243	\$ 289,824,931

See accompanying notes to the special-purpose financial statements.

The Babcock & Wilcox Company Asbestos PI Trust

Special-Purpose Statements of Changes in Net Assets

<i>Year ended December 31,</i>	2025	2024
Additions		
Interest and dividend income, net	\$ 6,965,780	\$ 7,894,115
Net appreciation in fair value of investment securities	23,886,504	8,546,543
Net change in fair value of alternative investments	1,232,372	1,368,090
Total Additions	32,084,656	17,808,748
Deductions		
Operating expenses	4,794,511	4,477,972
Personal injury claims expenses	19,503,851	28,553,541
Claims processing expenses	2,292,982	2,832,431
Total Deductions	26,591,344	35,863,944
Increase (Decrease) in Net Assets	5,493,312	(18,055,196)
Net Assets, beginning of year	289,824,931	307,880,127
Net Assets, end of year	\$295,318,243	\$ 289,824,931

See accompanying notes to the special-purpose financial statements.

The Babcock & Wilcox Company Asbestos PI Trust

Special-Purpose Statements of Cash Flows

<i>Year ended December 31,</i>	2025	2024
Cash Flows from Operating Activities		
Increase (decrease) in net assets	\$ 5,493,312	\$ (18,055,196)
Adjustments to reconcile net increase (decrease) in net assets to net cash used in operating activities:		
Net appreciation in fair value of investment securities	(23,886,504)	(8,546,543)
Net change in value of alternative investments	(1,232,372)	(1,368,090)
Amortization of bond premium, net	2,367,206	3,464,179
Changes in operating assets and liabilities:		
Settled but unpaid claims	(378,567)	23,344
Interest and other receivable	(476,954)	174,872
Accrued expenses and accounts payable	(685,187)	(190,481)
Net Cash Used in Operating Activities	(18,799,066)	(24,497,915)
Cash Flows from Investing Activities		
Sales and maturities of bonds	119,313,820	75,807,141
Purchases of bonds	(91,794,365)	(74,412,685)
Purchases of equity securities	(10,389,144)	8,940,591
Sales of equity securities	15,604,686	(9,273,647)
Reinvestment of income in alternative investments	(207,924)	(124,126)
Distributions/withdrawals from investments in alternative investments	-	3,303,188
Purchase/Additions from investments in alternative investments	(8,000,000)	-
Net Cash Provided by Investing Activities	24,527,073	4,240,462
Net Increase (Decrease) in Cash and Cash Equivalents	5,728,007	(20,257,453)
Cash and Cash Equivalents, beginning of the year	4,805,695	25,063,148
Cash and Cash Equivalents, end of the year	\$ 10,533,702	\$ 4,805,695

See accompanying notes to the special-purpose financial statements.

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

1. Description of the Trust

On February 22, 2000, The Babcock & Wilcox Company (B&W), the related entities of Diamond Power International, Inc., Babcock & Wilcox Construction Co., Inc., Americon, Inc., McDermott International, Inc. a Panamanian corporation (MII), and McDermott Incorporated (collectively, the Debtors), voluntarily filed petitions for reorganizing under Chapter 11 of the United States Bankruptcy Code with the United States Bankruptcy Court for the Eastern District of Louisiana (the Bankruptcy Court). On January 17, 2006, the District Court entered an order (the Confirmation Order) confirming the Joint Plan of Reorganization dated September 28, 2005, as amended through January 17, 2006 (the Confirmed Plan) proposed and filed by the Debtors, the Asbestos Claimants Committee, the Future Asbestos-Related Claimants Committee, and McDermott, Incorporated. The Confirmed Plan became effective on February 22, 2006 (the Effective Date or the Effective Date of the Plan of Reorganization).

The essential elements of the Confirmed Plan include, among other things: the utilization of a qualified settlement fund, in the form of The Babcock & Wilcox Company Asbestos PI Trust (the Trust), to assume all liabilities and obligations of the Debtors, their predecessors and successors in interest, for all Asbestos PI Trust Claims and Asbestos Property Damage Claims (as defined in the Plan) (collectively, the Asbestos Claims), and to resolve, and provide for the payment in part or in full, of all Asbestos Claims in accordance with procedures established pursuant to the Confirmed Plan.

When formed, the Trust was funded with (a) \$350 million in cash received from McDermott International, the parent company of The Babcock & Wilcox Company, (b) asbestos insurance recoveries (as described in Note 6) (c) a \$250 million five-year promissory note receivable from McDermott International, and (d) a contingent payment right to receive \$355 million within 180 days of November 30, 2006 upon satisfaction of certain conditions precedent, all in consideration for the releases and injunctions described in the Confirmed Plan. Both the \$250 million note and the \$355 million contingent payment were received in 2006.

The Trustees are responsible for supervising and administering the Trust and utilizing the Trust's assets and income to pay the holders of all Asbestos Claims in accordance with the Trust Agreement and the Trust Distribution Procedures agreement in such a way that holders of Asbestos Claims are treated fairly, equitably and reasonably in light of the limited assets available to satisfy such claims, and to otherwise comply in all respects with the requirements of a trust set forth in Section 524(g)(2)(B) of the Bankruptcy Code.

2. Summary of Significant Accounting Policies

Basis of Presentation

The Trust's financial statements are prepared using special-purpose accounting methods adopted by the Trustees, which differ from accounting principles generally accepted in the United States of America (GAAP). The special-purpose accounting methods were adopted in order to communicate to the beneficiaries of the Trust the net assets and the related operating expenses of the Trust. Since the accompanying special-purpose financial statements are not based upon GAAP, the accounting treatment by other parties for these same transactions may differ as to timing and amount.

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

The special-purpose accounting methods include the following:

- Assets are generally recorded when they are received by the Trust and are available for the payment of asbestos claims.
- Future fixed liabilities under contractual obligations and other agreements entered into by the Trust are recorded as deductions from net assets in the same period that such contractual obligations or agreements are signed. Under GAAP, liabilities and contractual obligations are recorded over the period that is benefited by the underlying contract or agreement.
- The full amount of claims are expensed in the period in which the confirmed claims are settled. A settled claim is a claim that has been allowed by the Trust and accepted by the claimant, with an approved release. Under GAAP, a liability would be recorded for an estimate of the amount to be paid for claims that have been incurred but not yet reported, and for those claims that have been submitted but not yet approved for payment by the Trust.
- Payments for services to be received over an extended period in the future are expensed as paid because these amounts are no longer available for the payment of claims. Under GAAP, an asset would be recorded and amortized over the period in which the related benefits are received.
- Income tax expense is estimated and recorded as incurred in the period in which certain income and expense items affect current federal income taxes payable. Under GAAP, the provision for income taxes is recorded based upon income reported for financial statement purposes, and federal and state income taxes both currently payable and changes in deferred taxes due to differences between financial reporting and tax bases of assets and liabilities. Under GAAP, deferred taxes include a provision for taxes attributable to changes in unrealized gains and losses on investments.
- Asbestos insurance recoveries are not recorded until the funds are received from the insurance carriers. These recoveries come from various insurance settlements, which were obtained by The Babcock & Wilcox Company and related entities and assigned to the Trust. The insurance policies cover, among other things, products and general liability claims. Future recoveries under such settlements, which were assigned to the Trust, will inure to the Trust. Under GAAP, asbestos insurance recoveries are recorded upon settlement and assurance of collectability.
- Under GAAP, for financial statement disclosure purposes all investments would be categorized based on the priority of inputs used to measure fair value. Under GAAP, inputs used in measuring fair value are categorized into three levels. Level 1 includes inputs that are based upon quoted prices for identical instruments traded in active markets. Level 2 includes inputs that are based upon quoted prices for similar instruments in active markets, quoted prices for identical or similar investments in markets that are not active, or models based on valuation techniques for which all significant assumptions are observable in the market or can be corroborated by observable market data for substantially the full term of the investment. Level 3 includes inputs that are generally unobservable and typically reflect management's estimates of assumptions that market participants would use in pricing the asset or liability. The fair values are therefore determined using model-based techniques that include option pricing models, discounted cash flow models, and similar techniques. The accompanying special-purpose financial statements do not categorize all investments into these levels.

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

Use of Estimates

The preparation of special-purpose financial statements in conformity with the special-purpose accounting methods described above requires the Trust to make estimates and assumptions that affect the reported amounts of certain assets and liabilities and the disclosures of contingent assets and liabilities at the date of the special-purpose financial statements, as well as the reported amounts of additions and deductions to the net assets during the reporting period. Actual results could differ from those estimates and such differences could have a material effect upon the net assets.

Cash Equivalents

The Trust considers all highly liquid instruments with original maturities of three months or less to be cash equivalents.

Investments

Investment securities are stated at fair value. Fair value for investment securities, other than alternative investments, are based on quoted market prices for identical or similar instruments traded in active markets as of the date of the special-purpose financial statements. The fair value for alternative investments is based on the Trust's proportionate share of each fund's net assets, as reported as of the date of the special-purpose financial statements. The net appreciation or depreciation in fair value of investments in the accompanying special-purpose statements of changes in net assets consists of realized gains or losses on sales of investments and the changes in unrealized gains or losses on investments held. Investment income is recognized when earned. Interest and dividend income, net of investment expenses and amortization and accretion of bond premiums or discounts, are included in interest and dividend income, net in the accompanying special-purpose statements of changes in net assets. Gains and losses on sales of investment securities are determined using the specific identification method.

Accrued Expenses and Accounts Payable

Accrued expenses and accounts payable consist of accruals and outstanding invoices associated with managing the Trust.

Operating Expenses

Operating expenses of the Trust are paid from the net assets when invoices are received.

Claims Processing Expenses

Claims processing expenses are paid from net assets when invoices are received.

Income Taxes

The Trust is classified as a Qualified Settlement Fund pursuant to the Internal Revenue Code and Regulations thereunder (the Code). As a result, the Trust is subject to federal income taxes based on modified gross income, as defined by the Code. In the opinion of the Trustees and advisors, the Trust is not subject to state income taxes and, therefore, the special-purpose financial statements do not include any provision or liability for state income taxes.

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

The Trust is generally no longer subject to income tax examinations by the Internal Revenue Service for the years ended December 31, 2021 and prior.

Income tax expense is estimated and includes amounts payable or receivable under current federal income taxes.

The Trust records income tax expense (or benefit) associated with amounts payable (or receivable) under current federal income taxes and does not record a provision for (or benefit from) deferred taxes. Accordingly, there is no provision for deferred taxes associated with changes in cumulative unrealized gains and losses on investments (see Note 4). The income taxes associated with gains on investments will be recorded in the Trust's special-purpose financial statements when the net gains are realized (i.e. the securities are sold) and the taxes become currently payable.

Risks and Uncertainties

The Trust's assets that are exposed to credit risk consist primarily of cash and cash equivalents and investments in equity securities, municipal bonds, and alternative investments. Cash and cash equivalents are maintained at financial institutions and, at times, balances may exceed federally insured limits. The Trust has never experienced any losses related to these balances. As of December 31, 2025, the Trust had no deposits in excess of federally insured limits.

The Trust invests in a professionally managed portfolio that contains equity securities, municipal bonds, and alternative investments. Such investment securities are exposed to various risks such as interest rate, market, and credit risks. Due to the level of risk associated with certain investments securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the Trust's account balance and the amounts reported in the special-purpose statements of assets, liabilities and net assets.

3. Related Parties

On November 1, 2006, the Trust became a member of the Delaware Claims Processing Facility (DCPF), a limited liability company under an agreement with several other Qualified Settlement Funds.

The purpose of the DCPF is to operate a claims processing facility. At inception, the Trust contributed \$100 in capital to this entity. Effective January 1, 2007, this entity began processing all of the Trust's Asbestos Claims.

The Trust recorded expenses related to the operation of this entity of \$4,794,511 and \$4,477,972 for the years ended December 31, 2025 and 2024, respectively. Amounts payable to DCPF at December 31, 2025 and 2024 totaled \$164,273 and \$255,612, respectively. Expenses charged to the Trust related to the operation of this entity include direct labor expenses, other direct expenses, and an allocation of common costs.

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

4. Investments

Investment securities consist of the following:

December 31, 2025

Description	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Bonds	\$ 151,931,420	\$ 765,650	\$ -	\$ 152,697,070
Equity securities	24,560,648	81,531,053	-	106,091,701
	\$ 176,492,068	\$ 82,296,703	\$ -	\$ 258,788,771

December 31, 2024

Description	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Bonds	\$ 181,708,712	\$ -	\$ (3,571,390)	\$ 178,137,322
Equity securities	25,297,819	66,569,329	-	91,867,148
	\$ 207,006,531	\$ 66,569,329	\$ (3,571,390)	\$ 270,004,470

Net appreciation in the fair value of investment securities of \$23,886,504 and \$8,546,543 for the years ended December 31, 2025 and 2024, respectively, consists of the net change in unrealized gains (losses) and net realized gains (losses) from investment sales.

Net change in unrealized gains (losses) from investment market appreciation or depreciation of investment securities consist of the following:

<i>December 31,</i>	2025	2024
Bonds	\$ 4,337,040	\$ (3,068,307)
Equity securities	14,961,724	9,857,523
	\$ 19,298,764	\$ 6,789,216

Net realized gains (losses) from investment sales consist of the following:

<i>December 31,</i>	2025	2024
Bonds	\$ 4,461,757	\$ (710,388)
Equity securities	125,983	2,467,715
	\$ 4,587,740	\$ 1,757,327

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

Summary of Changes in Alternative Investments

The table below sets forth a summary of changes in the fair value of the Trust's alternative investments as follows:

Year ended December 31,	2025	2024
Balance, beginning of year	\$ 14,144,032	\$ 15,955,004
Reinvestment of income	207,924	124,126
Purchase/ Additions	8,000,000	-
Distributions/withdrawals	-	(3,303,188)
Net change in fair value	1,232,372	1,368,090
Balance, end of year	\$ 23,584,328	\$ 14,144,032

Alternative Investments Categories

The major categories of the Trust's alternative investments, including general information related to each category, are as follows:

December 31,		Fair Value		Redemption Frequency (if Currently Eligible)	First/Next Redemption	Notice Period (Days)	Gate
	2025	2024					
(a)							
Multi-strategy fund	\$ 10,174,984	\$ 9,143,198	Semi-annually	June 30, 2026	65	10%	
Multi-strategy fund	5,390,495	4,775,378	Daily	January 1, 2026	1	None	
Multi-strategy fund	3,015,304	-	Monthly	January 31, 2026	60	None	
Multi-strategy fund	4,781,485	-	N/A	N/A	55	the greater of \$2M or 20% balance	
	23,362,268	13,918,576					
(b)							
Long/short fund *	24,499	26,607	In liquidation	N/A	N/A	N/A	
Long/short fund**	197,561	198,849	In liquidation	N/A	N/A	N/A	
	222,060	225,456					
	\$ 23,584,328	\$ 14,144,032					

* Any Shareholder that wants to redeem any Class S Shares in full must redeem over 4 consecutive withdrawal dates. Investor may be charged expenses associated with withdrawing.

** An investor may first redeem at the quarter end following the end of the lockup. On each redemption date, such Class C shareholder may redeem up to a number of Shares of such series having a Net Asset Value of up to one-half of the Net Asset Value of such series of Class C Shares, adjusted for net realized and unrealized appreciation and net realized and unrealized depreciation on such series without being subject to a Redemption Fee; and any amounts redeemed over the Redemption Amount will be subject to a redemption fee equal to 4% of the amount of the Excess, determined after accounting for the Incentive Allocation.

(a) Alternative investments within this category use a variety of strategies to diversify risks and reduce volatility. One of the funds in this category invests in value equities, special situations, long-term arbitrage and structured credit and mortgage securities, while the other funds contains derivative positions or a combination of long and short positions and private placement positions.

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

(b) This category includes alternative investments that hold securities traded in various global equity markets. Positions within the alternative investment can be both long and short and cover various industries such as banking, utilities and technologies.

5. Income Taxes

The Trust made no estimated income tax payments during the years ended December 31, 2025 and 2024. For the year ended December 31, 2025, the Trust has overpayments from prior years which approximate \$1,698,000 to apply to future federal income tax liabilities.

As of December 31, 2025, the Trust has estimated cumulative net operating losses totaling approximately \$8,245,000 which may be used to reduce future taxable income.

The Trust incurred net capital losses in 2022 totaling approximately \$1,680,000 which has been fully carried back to offset prior years' capital gains. The federal tax refund, of approximately \$622,000, associated with the net capital loss carryback will be recorded when received by the Trust.

As disclosed in Note 2 to the special-purpose financial statements, the Trust does not record a provision for (or benefit from) deferred taxes. Accordingly, there is no provision for deferred taxes associated with net operating loss carry forwards, net capital loss carryforwards, or cumulative unrealized gains and losses on investments.

6. Contingent Liabilities

The Plan Documents (as defined in the Confirmed Plan) subject the Trust to certain reimbursement and indemnification obligations that may result in future claims against the Trust.

The probability of such claims cannot be reasonably determined. Accordingly, no associated liability has been recorded in the accompanying special-purpose financial statements. Such claims, if any, are not expected to be material. The Trust has obtained insurance for purposes of supporting its obligation to indemnify the Trustees.

7. Liability for Asbestos Claims

The settled but unpaid claims liability of \$719,800 and \$1,098,367 consists of personal injury claims that were settled, but unpaid as of December 31, 2025 and 2024, respectively. These amounts have been included in personal injury claim expense in the accompanying special-purpose statements of changes in net assets for the years ended December 31, 2025 and 2024. The entire balance was paid subsequent to December 31, 2025 and 2024, respectively.

The ultimate number of Asbestos Claims to be filed and the liability for all such claims are uncertain at this time. The net assets at December 31, 2025 and 2024, represents funding available for all Asbestos Claims for which no fixed liability has yet been established. The net assets at December 31, 2025 and 2024, may or may not be sufficient to meet all future obligations of the Trust.

The Babcock & Wilcox Company Asbestos PI Trust

Notes to the Special-Purpose Financial Statements

8. Trust Liability Insurance

The Trust purchased liability insurance requiring premiums of \$90,834 and \$96,529 in 2025 and 2024, respectively. The current policy term is from February 2025 through February 2027. The Trust's special-purpose accounting policy is to expense in the current period any amounts that will not be available to pay future Asbestos Claims or expenses of the Trust. Accordingly, this amount was recorded as a deduction in net assets during the years ended December 31, 2025 and 2024.

9. Trustees, Trust Advisory Committee, and Future Claimants' Representative and Delaware Claims Processing Facility Board of Managers

Fees and expenses of the Trustees, Trust Advisory Committee (TAC), the Future Claimants' Representative, the Delaware Claims Processing Facility (DCPF) Board of Managers, and related counsels were as follows:

Year ended December 31, 2025

	Fees	Retainer	Expenses	Total
Trustees	\$ 403,010	\$ 281,383	\$ 13,974	\$ 698,367
Future Claimants' Representative	26,020	-	940	26,960
Future Claimants' Representative Counsel	130,821	-	19,566	150,387
Trust Advisory Committee	3,785	-	545	4,330
Trust Advisory Committee Counsel	80,801	-	1,060	81,861
DCPF Board of Managers	132,848	-	-	132,848
	\$ 777,285	\$ 281,383	\$ 36,085	\$ 1,094,753

Year ended December 31, 2024

	Fees	Retainer	Expenses	Total
Trustees	\$ 374,156	\$ 274,258	\$ 10,301	\$ 658,715
Future Claimants' Representative	26,040	-	-	26,040
Future Claimants' Representative Counsel	149,405	-	18,649	168,054
Trust Advisory Committee	3,800	-	517	4,317
Trust Advisory Committee Counsel	94,840	-	765	95,605
DCPF Board of Managers	118,929	-	-	118,929
	\$ 767,170	\$ 274,258	\$ 30,232	\$ 1,071,660

The above amounts are included in operating expenses in the special-purpose statements of changes in net assets for the years ended December 31, 2025 and 2024, respectively.

10. Subsequent Events

The Trust has evaluated its December 31, 2025 special-purpose financial statements for subsequent events through April 23, 2026, the date the special-purpose financial statements were available to be issued. The Trust is not aware of any subsequent events which would require recognition or disclosure in the special-purpose financial statements.

Supplementary Information



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McLean, VA 22102

Independent Auditor's Report on Supplementary Information

The Trustees
The Babcock & Wilcox Company Asbestos PI Trust
Wilmington, Delaware

Our audits of the special-purpose financial statements included in the preceding section of this report were conducted for the purpose of forming an opinion on those special-purpose statements as a whole. The supplementary information presented in the following section of this report is presented for purposes of additional analysis and is not a required part of the special-purpose financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the special-purpose financial statements. The information has been subjected to the auditing procedures applied in the audits of the special-purpose financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the special-purpose financial statements or to the special-purpose financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the special-purpose financial statements as a whole.

BDO USA, P.C.

McLean, Virginia
April 23, 2026

The Babcock & Wilcox Company Asbestos PI Trust

Supplementary Schedules of Operating Expenses

<i>Year ended December 31,</i>	2025	2024
Trust management fees	\$ 1,602,784	\$ 1,230,387
Investment management and advisory service fee	1,032,311	1,046,732
Trustee fees and expenses	698,367	658,715
General Legal fees	586,906	483,097
Accounting, finance and tax fees	295,617	283,427
Future Claimants' Representative and Future Claimants' Representative Counsel fees and expenses	177,347	194,094
DCPF Board of Managers	132,848	118,929
Trust liability insurance	90,834	96,529
Trust Advisory Committee Counsel fees and expenses	81,861	95,605
Other legal fee	75,620	103,441
Miscellaneous operating expenses	15,686	162,699
Trust Advisory Committee fees and expenses	4,330	4,317
Total Operating Expenses	\$ 4,794,511	\$ 4,477,972

See independent auditor's report on supplementary information.